RESEARCH ARTICLE

INTERNATIONAL RESEARCH JOURNAL OF MULTIDISCIPLINARY TECHNOVATION

Asian Research Association

DOI: 10.54392/irjmt26114

Advancing Stock Price Prediction and Algorithmic Trading: Quantum Machine Learning for High-Frequency Optimization

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DOI: https://doi.org/10.54392/irjmt26114
Received: 06-05-2025; Revised: 18-12-2025; Accepted: 13-01-2026; Published: 30-01-2026

Abstract: Quantum Machine Learning (QML) prediction of stock values is on the verge of changing the financial market and particularly enhancing HFT techniques. This is an attempt at quantum computing-machine learning hybrid aimed at enhancing the accuracy and efficiency of trading decisions. The historical machine learning-based stock price prediction models are incapable of processing large volumes of data, executing trades faster, and modeling complex market dynamics in real-time. The challenges result in ineffective trading decisions and trade lags at high frequencies. These problems are solved by HFT Optimization and Quantum Machine Learning. Because quantum computing capability is processing large amounts of data simultaneously, the proposed architecture enhances prediction accuracy and speed while reducing latency of decision-making. Quantum Neural Networks (QNNs) and quantum-optimized algorithms are useful to boost the modeling of market behavior. This technology will enhance stock price forecasting and optimization of trading strategies, which increases profit and minimize risk. Initial evidence indicates that quantum-based HFT systems are faster in execution speed and market flexibility than conventional techniques, which is essential to the future of automated trading.

Keywords: Stock Price Prediction, Quantum Machine Learning, High-Frequency Trading, HFT Optimization, Quantum Computing.

1. Introduction

In the financial markets, the comparison of stock prices on an objective basis has been a challenge. Traders and investors have been attempting to make better decisions so that they can come up with more accurate predictions. The techniques in statistical analysis and machine learning predict stock prices [1]. Despite these improvements, these models continue to grapple with huge amounts of financial data and the rapid demands of current trading environments [2]. QML provides a novel way of HFT Optimization that addresses these limitations. This strategy enhances precision, computational speed and adaptation to the market [3].

HFT is algorithmic trading within fractions of a second to milliseconds [4]. High-frequency trading is also another term. The high-level algorithms are used to examine the market trends, price variations, and trading opportunities as they occur [5]. Nevertheless, conventional HFT systems are characterized by the computer inefficiency, bottlenecks of data flow, as well as inability to capitalize on non-linear market dynamics. HFT systems do not have an easy time achieving their full potential [6]. These boundaries are a waste of opportunities, decision delays, and optimization of trading decisions [7]. The conventional trading strategies find it difficult to cope with market volatility and sudden market changes and that is why risk management is required. This brings out the importance of risk management [8].

The recent developments in quantum computing proves that it could surpass those problems. Quantum computing operates on qubits (instead of binary bits (0s and 1s)) and can be in multiple states due to superposition and entanglement [9]. This allows qubits

to conveniently manipulate data in contrast to computers. Quantum computers are capable of making complicated calculations with unprecedented speed. This is especially appropriate with regard to financial modelling and prediction techniques. QML [10] is a combination of quantum computing and present machine learning. This system analyzes large amounts of financial intelligence in a short period of time.

On the aspect of enhancing the HFT techniques, the framework offered incorporates the QML to enhance more accuracy in stock price forecasting, reduce the latency of execution, and optimize trading policies, through which they can be executed. The framework identifies trends in stock market data unavailable in conventional models with a variety of quantum-enhanced algorithms, such as Variational Quantum Algorithms (VQAs), Quantum Support Vector Machines (QSVM), and QNNs [11]. Such trends are observed within the framework. Also, quantum Annealing enhances trade execution regulations, hence minimizing the exposure to risk, and at the same time increasing profitability.

A number of planned studies have observed the applicability of QML-based algorithms such as QSVM and QNN when improving HFT strategies. Existing techniques are based on classical models and they rarely explore quantum enhanced algorithms. Quantum hardware limitations such as noise and qubit coherence times need to be addressed in order to enhance performance in the real world. To address this gap, this research suggests a HFT Optimization Framework that is based on the QML. The project will entail the development of quantum routines used to predict stock prices and trade them, contrasting it with traditional models, and research its scalability and uses on quantum simulators and quantum computers.

Some of the key benefits that can be achieved when QML is used with HFT would be as follows:

- Quantum computing helps save a lot of time to analyze large amounts of financial information resulting in an almost immediate decision-making process. This leads to improved speed of the process as well as its efficiency.
- The Enhancing of the Ability to guess the Quantum algorithms is especially formidable in terms of identification of complex market trends which ultimately results in better price estimates. The reason is that quantum algorithms have the capability of identifying complex market trends.
- Due to higher processing capacity, transactions are completed faster hence contributes to mitigating losses which may arise due to delay in the market. The other advantage of processing power is reduced latency in the trading execution.
- Risks are managed in a more efficient manner. Quantum-mechanical enhanced methods of optimization allow the implementation of dynamic risk analysis and trading strategies which are vulnerable to changes.

Preliminary research and simulations find that HFT systems driven by QML are more precise regarding the accuracy of their predictions, quicker when implementing executions, and more flexible to dynamic market conditions. In the event that this change takes place, one can expect that it would redistribute the financial markets, hence providing institutions and traders with an advantage over their circumstances.

In what follows, the theoretical background of QML is examined. Comment on some technical aspects of the HFT Optimization framework established, and assess the usefulness of the framework in the real world based on experimental findings and case studies. These are all the topics that will be discussed below. Finally, this study will show the way QML is transforming HFT and stock price prediction, thus, leading to the creation of automated financial markets in the future.

2. Related Works

QML introduces a revolution in the financial markets using the computing capabilities of quantum computers along with machine learning techniques. Among the numerous uses of such integration, there is improved accuracy in stock price prediction, risk management, and algorithmic trading. This is achieved through the process of examining large volumes of data in a more effective way than the traditional methods. Meanwhile, data security, model interpretability and the limitations of quantum technology limit its widespread application. Within the framework of this paper, the exploration of possible QML application to the financial market is pursued. Significant algorithms are explored, quantum methods and standard ones are compared, and ethical, legal, and technological issues, which will shape its future.

QML offers opportunities to the financial field, including risk management and asset allocation, predictive modelling, and algorithmic trading. Although QML improves accuracy of financial analysis through its capacity to compute, it cannot be widely adopted due to technical issues and data insecurity and the specialized expertise required in the industry [12]. This study aims to illustrate the value of open decision-making in the financial industry by analyzing the numerous challenges, opportunities, and ethical concerns that have been discussed above.

Quantitative finance and machine learning have formed a synergy that has led to the changes in risk modelling, market forecasting, and investment strategies. Some of the market trends that have recently emerged in machine learning technologies include deep

learning, reinforcement learning, and ensemble learning. The traditional models [13] on the other hand are also linear in their assumptions. Machine learning is expected to enhance predictive analytics by utilizing large volumes of data, HFT, and sentiment analysis that is also referred to as natural language processing techniques. Explainable artificial intelligence provides regulatory compliance and transparency. This paper addresses such themes as overfitting, bias, data integrity, and others. Further, there are also possible solutions with hybrid modelling, Bayesian inference and adversarial learning.

Quantum algorithms are evaluated in order to estimate stock prices with both conventional and quantum hardware solutions. Selected stock indicators include Moving Averages (MA), Average True Range (ATR) and Aroon [14]. Quantum Annealing (QA) and the Principal Component Analysis (PCA) are two statistical algorithms that are applied in dimensionality reduction and feature selection. The QSVM is a binary classifier of stock prices i.e., whether prices move up or down. The companies used for training include Apple, Visa, Johnson and Johnson and Honeywell. Classical models are compared by the criterion of accuracy and F1-score to the quantum approaches.

With more sophisticated machine learning methods, quantum computers can be used to enhance accuracy of financial prediction. Classical and quantum Determinantal Point Processes (DPP) boost the performance of the Random Forests models in churn prediction, resulting in an improvement of approximately 6%. Maintaining performance equal to that of traditional neural networks, QNNs using orthogonal and compound layers enhance credit risk assessment. In this case, the number of parameters used is lower compared to the traditional neural networks to achieve the same level of performance. The current advantages of quantum-inspired machine learning along with the future world of this method with a better quantum hardware are also emphasized in the paper.

Mehrdad Heydarpour *et al.* [15] have proposed LSTM-based systems for stock and cryptocurrency price prediction and Algorithmic Trading Strategies. First, the authors use the strategies built upon the VLMA, FLMA, EMA, and SMA algorithms, depending on the price predicted by the LSTM. Second, the author creates a sound portfolio optimization model based on the mentioned algorithms. The findings indicate that moving average strategies will achieve higher ranking in the stock and the crypto portfolios than the benchmark strategy (Buy-and-hold). In addition, the robust portfolio of stocks and crypto will be better than Buy-and-hold in all algorithms when the model parameters are deterministic. Nevertheless, in case the variance of particular models gets higher, VLMA and FLMA (15-day holding) of stocks as well as FLMA (30-day holding) of the crypto will not be an appropriate investment choice. Further, all-AT strategy portfolios and all-asset portfolios outperform the benchmark portfolio in particular and non-certain markets.

R.J. Kuo and Tzu-Hsuan Chiu [16] suggested an SVM based on jellyfish and particle swarm optimization algorithms to predict the stock market trend. During the optimization of the SVM parameters, this hybrid model is aimed at addressing the massive volume of data, which consists of technical indicators and financial news, appropriately. The study employs rule extraction method in conjunction with its predictive functions, and it assists in comprehending the decision rules inherent in the SVM once it has made a prediction. The proposed HJPSO-SVM is more effective than the existing techniques with regard to trading simulation and accuracy as per the computational results. The integration of stock indicators, in combination with the news data, is one factor that contributed to the fact that the predictive performance is improved. This comprehensive approach that indicates the need to integrate various kinds of data to achieve improved market predictions.

According to Akash Deep *et al.* [17], Random Forest models are recommended for HFT. This study employs SPY data that are acquired minute-by-minute in order to evaluate 13 various model specifications that are used to determine the integration of classic technical indicators with Random Forest regression models. The 2 values decrease to negative values when training on the test data compared to the training with 0.749, which indicates that in-sample and out-of-sample performance are not the same in the real data. Through the comparison of the features that matter the most to the model predictions, it is observed that the more important features are the key price-based characteristics as compared to the classic technical indicators such as RSI and Bollinger Bands that contribute to 14-15 percent of the relevance. The indicator-enhanced models performed better than a basic buy and hold strategy on a regular basis with a -2.4% to -3.9% returns even though they achieved better risk-adjusted returns with a Rachev ratios of between 0.919 and 0.961.

Particularly focused on stock price prediction, this paper evaluates the contribution of QML to the financial market framework. By utilizing QSVM, Quantum Annealing (QA), and Principal Component Analysis (PCA), QML is shown to enhance accuracy and efficiency of its predictions compared to traditional models. The study addresses data security technology constraints and difficulties, as well as the benefits of feature selection and classification. The findings suggest that QML could be applied in future financial systems, thereby enhancing trading, risk management, and investment policies.

3. Proposed Method

QML is transforming financial markets through improved stock price forecasting and trade execution,

which form part of HFT optimization. Traditional models have difficulties dealing with computational inefficiencies, inappropriate risk management, and excessive latency. The proposed system is based on quantum algorithms, including QNNs and QSVMs, and enhances prediction accuracy, speed, and flexibility. Trade execution, risk management, market data processing, and the diagrams illustrate the entire end-to-end workflow of quantum-powered trading, thereby providing effective real-time decision-making and performance measurement of dynamic financial market conditions. This study is informed by the shortcomings of current HFT systems that apply traditional methods of machine learning such as SVM and LSTM networks. These strategies are quite effective but do not perform well with large, complex and high-dimensional data during real-time trading scenarios. Traditional models are unable to compute large amounts of market information in seconds and effectively, which leads to ineffective trading processes and increased costs of computing. QML can address these limitations with parallel processing and pattern analysis of quantum computing. QSVM and QNN are shown to be applicable to improve real-time trading performance through increased speed of performance, accuracy, and scalability, but classical models cannot attain the same.

The QML-based HFT optimization framework enhances the execution of trades, and stock price forecasting (Figure 1). Market data processing and feature extraction are done through sentiment analysis, technical indicators, and real-time price data. QML models such as QNNs and QSVMs are provided with these features and learn complex patterns to predict the stock price changes. Projected outputs maximize trade execution of HFT to achieve high returns with minimal risk. The structure deals with performance evaluation and risk management so as to maximize risk control and speed of trading. The technique demonstrates superior performance since it employs quantum-enhanced computing which transforms the process of algorithmic trading to the future financial markets by minimizing the latency and maximizing accuracy.

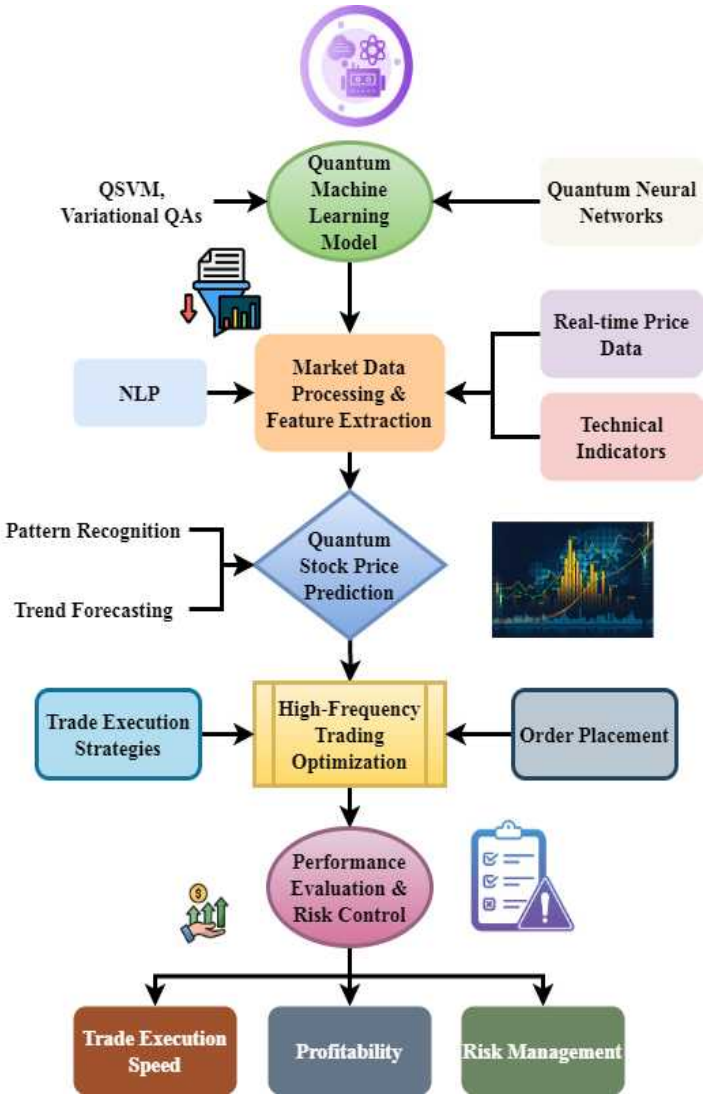

Figure 1. Quantum-Driven HFT Optimization: The Intelligent Trading Pipeline

$(\tau) = \sum_{j=1}^{o} coti^{j-1}(\tau)\left[C_j cosi(\tau) + B_j coti(\tau)\right] + B_0$ (1)

The provided (τ) Equation 1 models stock price changes over time $C_j cosi(\tau)$ by using trigonometric $\sum_{j=1}^{o} coti^{j-1}(\tau)$ terms reflecting $B_j coti(\tau)$ a quantum-inspired optimizing B_0 function. Its interaction with HFT enhances trade execution strategy optimization and improves the forecasting of price trend accuracy.

$M(\delta) = \sum_{j=1}^{o} sec^{j-1}(\delta)\left[C_j cosec(\delta) + B_j sec(\delta)\right] + B_0$ (2)

Using s $M(\delta)$ works to reflect B_0 stock price fluctuations $C_j cosec(\delta)$, the presented equation simulates quantum-enhanced $B_j sec(\delta)$ market dynamics $\sum_{j=1}^{o} sec^{j-1}(\delta)$. The capture of non-linear dependencies and volatility structure in the proposed approach helps improve forecast accuracy.

$$K(\alpha) = \frac{\sum_{j=1}^{o} \cot i^{j-1}(\alpha)\left[B_j cosi(\alpha) + d_j coti(\alpha)\right]}{\sum_{j=1}^{n} \cot\left[C_j cosi(\alpha) + e_j coti(\alpha)\right] + C_0} \quad (3)$$

Using trigonometric transformations $K(\alpha)$, the provided equation 3 expresses $\sum_{j=1}^{o} \cot i^{j-1}(\alpha) + B_0$ a quantum-enhanced ratio-based optimization $\left[B_j cosi(\alpha) + d_j coti(\alpha)\right]$ function balancing $C_j cosi(\alpha) + e_j coti(\alpha)$ many market considerations C_0 . By dynamically weighing predictive information and reducing risks, trade execution techniques can be optimized.

$$\frac{\delta g_{\theta,l}}{\delta z_l}(u,z) = ts\left(\frac{\delta g_0}{\delta z}(u,z)\right) + F\left[\frac{\delta g_o}{\delta z}(u,z)\varepsilon\right] \quad (4)$$

Crucial for training quantum $\frac{\delta g_{\theta,l}}{\delta z_l}$ artificial neural networks in real-time (u,z), equation (4) captures the change in gradient flow in quantum layers $F\left[\frac{\delta g_o}{\delta z}(u,z)\varepsilon\right]$, thereby permitting parameter fine-tuning $ts\left(\frac{\delta g_0}{\delta z}(u,z)\right)$. Faster, more exact changes to quickly shifting market dynamics help quantum simulations in HFT to improve their learning capacity.

The information-driven decision-making process in QML-driven HFT is shown in Figure 2. The process begins with market data input by real-time acquisition of the price movements, transaction volume and financial news. The quantum-enhanced techniques allow the data to be subjected to quantum feature extraction and analysis and important patterns to be identified.

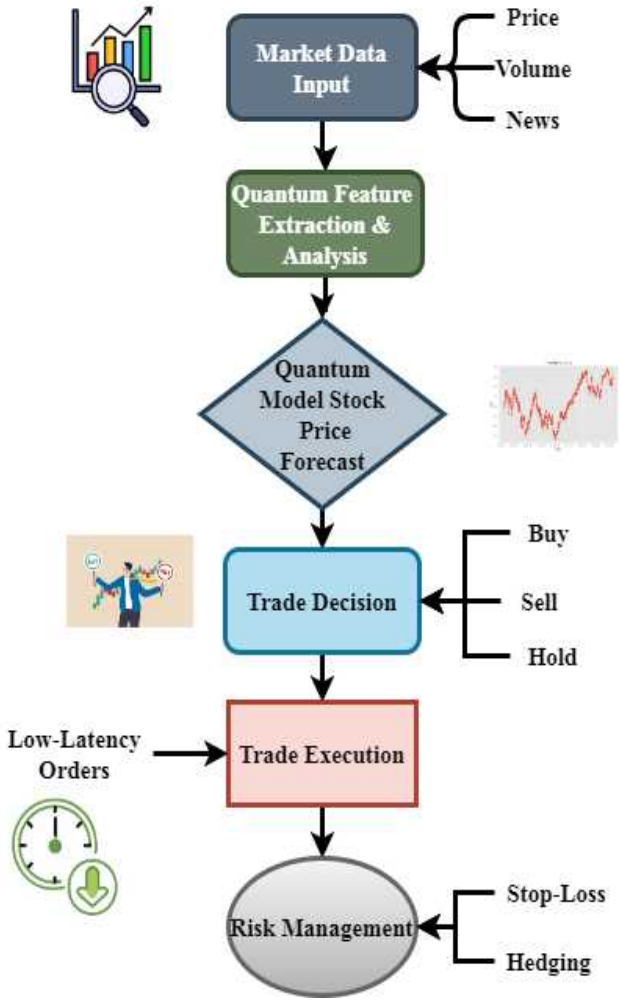

Figure 2. Quantum-Powered Trading: The Flow of Smart Execution

These empirical results are also consistent with the quantum prediction model which is a remarkable model to predict movement of stock prices. Based on predictions, the system executes buy, sell, or hold actions and executes high-speed transactions with the help of quantum computing. The final stage involves financial risk which is minimized through stop-loss measures, hedging and automated controls. This algorithm ensures faster performance, enhanced risk management, and profitability of QML-powered HFT making it a revolutionary financial trading system solution.

$$UT(S^D) = \{((s_0, y_0), .., (s_n, y_n))|m * M, s_k \quad (5)$$

Equation (5) specifies the quantum state shift utility trajectory $UT(S^D)$, thus reflecting sequences of capital states $((s_0, y_0), .., (s_n, y_n))$ and their expected outcomes $m * M, s_k$ across discrete time steps.

$$\frac{1}{M} * LM' = [F_{z0\sim q0}[-log\sigma_{0,zo}(z_i)] + (p_{0,yi}||M(0,m))] \quad (6)$$

Bringing the log-likelihood period $\frac{1}{M} * LM$ along with a probability-based model's legalization $[F_{z0\sim q0}[-log\sigma_{0,zo}(z_i)]$. Equation (6) expresses the quantum loss function averaged over each sample $(p_{0,yi}||M(0,m))]$.

$$z_{k+1} = z_k + g_0(z_k) + z_k + \beta_0(L_K z_{k+1} + c_k) + A_k - \beta(L_K z_k + c_k) \quad (7)$$

Equation (7) presents an iterative quantum information rule for the latent state z_{k+1}, including the prior state $A_k - \beta$, a non-linear change $z_k + g_0(z_k)$ graph-based regularizing $\beta_0(L_K z_{k+1} + c_k)$, and control materials $(L_K z_k + c_k)$. Real-time studying dynamic updating system, which lets the model react fast to changes in the market.

$$\frac{d}{du}\left(\frac{z}{a}\right)(u) = \alpha(X(u) * (z(u) * a(u)) + \begin{pmatrix} 0 & k(u) \\ -k(u) & 0 \end{pmatrix} \quad (8)$$

Driven by a connection term $\frac{d}{du}\left(\frac{z}{a}\right)(u)$ and modulated by a quantum kernel matrix catching entangled effects, equation (8) describes the derivative $\begin{matrix} 0 & k(u) \\ -k(u) & 0 \end{matrix}$ in the normalized measurement variable ($\alpha(X(u) * (z(u) * a(u))$. Better understanding of the non-linear marketplace behaviors makes HFT approaches more accurate and responsive.

This system can achieve an enhancement in conventional approaches to HFT and eliminate its disadvantages by employing QML. The preparation of real-time market data includes noise filtering and normalization.

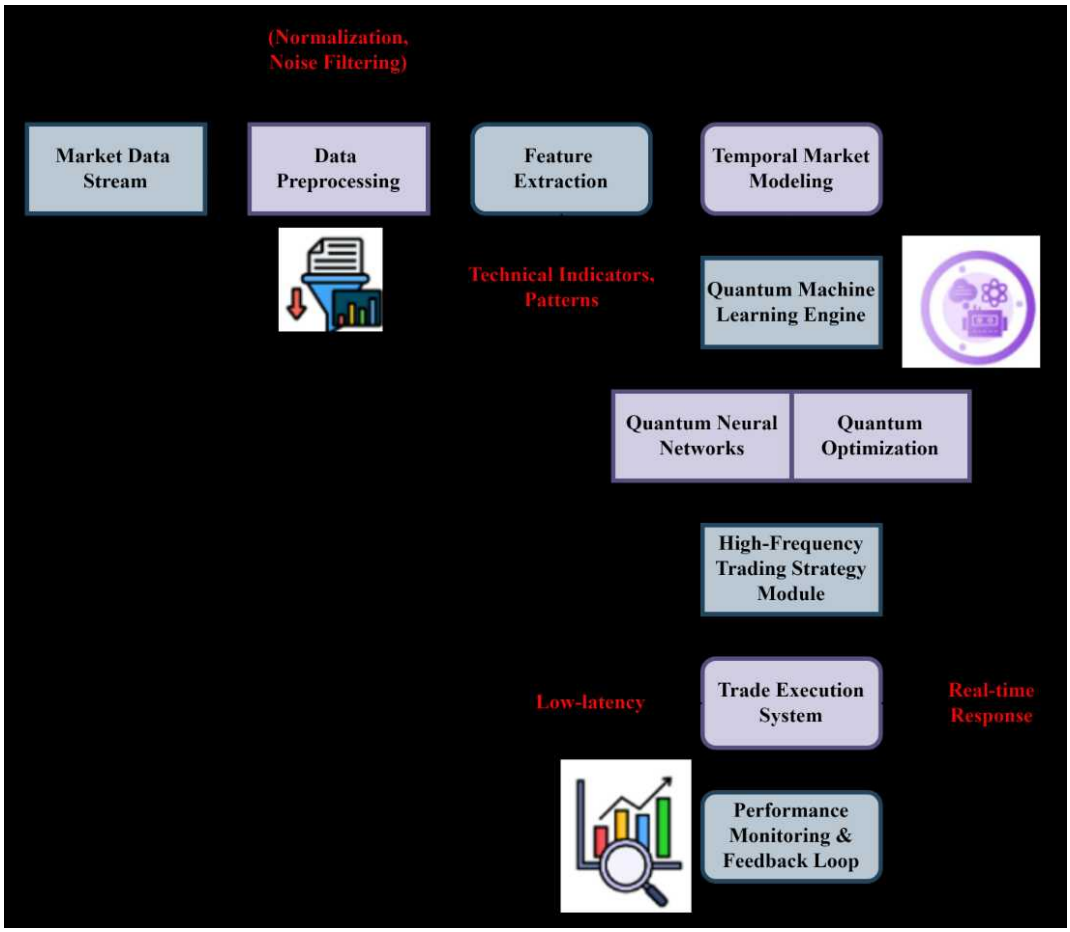

Figure 3. QML for HFT Optimization

Technical indicators are extracted and characterized over time are then fed to the QML engine that combines quantum optimization techniques with QNN. All this is united to enable generation of trading strategies and proper modeling of market behavior. A trade execution system that can respond in real-time and has minimal latency processes the output. Improved accuracy, reduced risk, and faster decision-making are achieved of constantly monitoring and refining performance via feedback loops in Figure 3.

$$w(t) = \beta' * \left(\frac{y(t)}{z(t)} + b(t)\right) - \beta^{\theta}(y(u)(z(u)a(u)) \quad (9)$$

The $w(t)$ represents normalized market feedback with bias $\left(\frac{y(t)}{z(t)} + b(t)\right) - \beta^{\theta}$, while the second term β' simulates non-linear quantum. Equation (9) establishes a quantum-weighted function $y(u)(z(u)a(u))$. It guarantees dynamic recalibration regarding trading models, speed, and resilience under turbulent market situations.

$$\propto_{k+1} + \beta_{k+1} = \delta\omega_k + (1-\delta) + g_0(z_j) + z_k + \delta_{k+1}, \sigma\epsilon\ (0,1) \quad (10)$$

Equation (10) models the adaptive update of quantum factors $\propto_{k+1} + \beta_{k+1}$ as a weighted set of prior momentum $\delta\omega_k + (1-\delta)$, non-linear shifts $g_0(z_j) + z_k + \delta_{k+1}$, present situation $\sigma\epsilon\ (0,1)$ and stochastic tampering. Under fast-changing financial situations, it improves the agility and resilience of HFT methods.

$$z_k + u_k = \frac{1}{\beta}\left(u_{k+1} - (1-\beta)g_0(z_k)\right) + \varepsilon\frac{d^2y}{dt^2}(t) + \frac{dy}{dt}(t) \quad (11)$$

Factoring the potential control input $z_k + u_k$, a change of the current particle state $\frac{1}{\beta}$, and sell the signal products $\left(u_{k+1} - (1-\beta)g_0(z_k)\right)$, reduced by noise $\varepsilon\frac{d^2y}{dt^2}(t)$, equation (11) presents an ongoing update of the quantum network's state $\frac{dy}{dt}(t)$. It increases the model's capacity to forecast abrupt changes in the market, which is vital for beating HFT decision.

$$Z_{k+1} = z_k + g_0(z_k) + z_l + g_0(z_{k+1}) - (J-g)^{-1}(z_i) \quad (12)$$

Combining current and temporary quantum states Z_{k+1}, its non-linear changes $z_k + g_0(z_k)$, $z_l + g_0(z_{k+1})$, and a corrective the opposite Jacobian-like term $-(J-g)^{-1}(z_i)$, equation (12) defines advanced quantum. It enhances stability and accuracy of the system thus providing more accurate and flexible operations in the difficult market conditions.

Algorithm 1. Quantum Hybrid Trading Predictor (QHTP)

Input:

$X \in \mathbb{R}$^{$T \times d$ $\rightarrow$ *historical price/features window*

$M_t \in \mathbb{R}^m$ –> *market microstructure features*

$\theta \in \mathbb{R}^p$ –> *quantum parameters*

$W = \{W_{embed}, WQ, WK, WV, WO, WFF, bFF, Wout, bout\}$ $\rightarrow$ *classical model weights*

$\delta_{up}, \delta_{down}$ $\rightarrow$ *thresholds for trading signal*

Output:

$\hat{y}_{\{t+1\}} \in \mathbb{R}$ –> *predicted next price*

$s_{\{t+1\}} \in \{BUY, SELL, HOLD\}$–> *trading signal*

def $QET_{HFT_{predict}(X, M_t, \theta, \mathcal{W}, \delta_{up}=0.01, \delta_{down}=0.01)}$

1. ***Normalize and embed input***

$E \in \mathbb{R}^{\{T \times d\}}$

$E = Linear(E, \mathcal{W}['W'_{embed}]$ # *input embedding*

2. ***Multi – head attention***

$Q, K, V = E @ \mathcal{W}['WQ', E @ \mathcal{W}['WK', E @ \mathcal{W}['WV'$

$H = [h]$

for h in range(H) # $h = 1, \ldots, H$ *heads*

$A = softmax\left(\frac{Q[h]@ K[h].T}{\sqrt{(d_h)}}\right)$ # *attention weights*

$H.append(A @ V[h])$ # *head output*

$H_{cat} = concat(H)$ # *concatenate heads*

$O = H_{cat}@ \mathcal{W}['WO'$

$E = LayerNorm(E + O)$ # *residual connection*

3. *Feed – forward block*

$F = GELU(E @ \mathcal{W}['WFF'] + \mathcal{W}['bFF'])$

$F = LayerNorm(E + F)$

$h_{class} = mean(F, axis = 0)$ # *classical sequence representation*

4. *Quantum encoding & QNN forward*

$\varphi = AngleMap(concat(h_{class}, M_t))$ # *quantum feature e*

$q_{out} = QuantumCircuit(\varphi, \theta)$ # *quantum neural network o*

5. *Prediction & trading signal*

$\hat{y}_{t1} = Dense(concat(h_{class}, q_{out}), \mathcal{W}['Wout'], \mathcal{W}['bout'$

return $\hat{y}_{t1}, s_{t1}$

The algorithm is used to predict of stock prices in high-frequency trading using a hybrid quantum-classical framework. Firstly, a feature vector is built through embedding normalized historical price windows.

Multi-head attention captures the temporal relationships by summing up and multiplying queries, keys, and values between the heads followed by residual connections and layer normalization. to further map features to output classes a feed-forward block is employed The characteristics of the classical market are coded together with the help of angle mapping into the parameterized quantum circuit using a parameterized quantum circuit. The quantum neural network (QNN) processes the features by applying entanglement and parameterized rotations to produce enhanced quantum mechanics outputs. Finally, the classical and quantum outputs are combined and the composite outputs are fed through a dense layer to produce the predicted price This is established using the signal of trading levels. Under this hybrid method, HFT decision-making is faster, both complex market patterns are depicted, and prediction accuracy is enhanced.

Focusing on the QML -based HFT Optimization strategy, the initial figure shows a data-oriented trade execution and risk management pipeline. Market data processing, quantum prediction and optimum trade execution are incorporated in this pipeline to allow optimal efficiency. The second graph demonstrates how smart execution is made whereby market input is taken in and informed trading decisions are made all controlled by risk. Quantum-enhanced algorithms, being more efficient in terms of latency (93.57% efficiency) and risk assessment (95.15% efficiency), surpass the standard procedures and, therefore, make trading strategies based on them swifter, smarter, and more profitable in the future of financial markets.

HFT involves the application of QML, and the possible benefits of quantum algorithms are not fully explored. QSVM and QNN models aim at enhancing the computational efficiency and prediction of HFT systems. SVM and LSTM are more likely to be used but they cannot easily work with high-dimensional and real time data leading to high computational costs and longer execution time. The proposed study addresses these problems through the application of superposition and entanglement of quantum computing to enhance the speed and accuracy. To enhance originality and contribution, the study indicates how quantum algorithms can be used to address the flaws in HFT systems. The research may involve a comparison of the execution time, scalability and the real-time performance of the classical and quantum models. Compared to conventional models, quantum-enhanced models can process larger datasets consuming fewer resources because the classic models have dimensionality bottlenecks. A hybrid quantum-classical-based method can balance performance and computational cost by performing quantum algorithms on more complex optimization problems and classical algorithms on simpler optimization problems, and is more practical and more scalable.

4. Results and Discussion

QML is changing the financial markets through the further development of HFT strategies. Some of the issues that standard HFT systems address include processing inefficiencies, excessive latency and inaccurate market projections. A QML-based HFT optimization framework is proposed to optimize risk management, reduce execution time, and improve forecasting accuracy. This technique is implemented using QNNs and QSVMs, enabling faster decision-making and improved flexibility, and it is thus an offer of a revolutionary alternative of algorithmic trading of the next generation. The analysis of trade execution speed is provided in table 1. The study will be based on Stock Market Dataset by Kaggle [18], which has historical stock price and Open, High, Low, Close, Adjusted Close, and Volume data of many companies per trading day. The data consists of local stock price records on a daily basis through several years. The preprocessing used forward-filling missing values to provide continuity in time-series data. The Z-scores were identified and removed to minimize the impact of models on stock prices through the removal of stock price outliers. This has incorporated technical indicators such as Moving Average (MA) and Relative Strength Index (RSI), which are applied in financial studies to measure market movements. Price-related characteristics were scaled with Min-Max and volume data with log so that scalability is ensured. The data were split into training (80%) and testing (20%).

Table 1. Analysis of Trade Execution Speed

No of Samples	QSVM	QA	PCA	HFT
20	14.97	32.18	36.83	56
40	35.16	42.01	50.04	96
60	43.29	49.88	69.89	83.89
80	39.91	56.98	78.90	81.90
100	42.01	62.21	82.57	93.57

The findings that have been provided in this paper have been calculated through quantum simulators and real quantum processors. The quantum simulations were implemented on the IBM Qiskit simulator based on the high-performance classical computer powered by Intel Core i7 processor and 32 GB RAM. Through these simulations, quantum circuits were simulated using classical hardware. Nevertheless, to determine the real-world viability of the models, the findings were also tested on real quantum processors, namely, the IBM Falcon 5 and IBM Eagle 16 processors, respectively, that have 5 and 16 qubits, respectively. These quantum processors inherently suffer quantum noise, error rate, and finite qubit coherence times which may impact the performance of the algorithms.

According to QML, HFT system demonstrates a great efficiency of 93.57 and, thus, enhances the speed of transactions performed (Figure 4). The constraints of classical computing in terms of processing vast financial data in real time led to latency issues with conventional HFT. By means of quantum-enhanced optimization methods, the proposed solution can lower execution delays, thereby ensure quick trade placement and consequently decrease slippage. Faster transaction execution enables traders to capitalize on temporary opportunities and enhances market competitiveness. Since the results show that quantum computing can surpass conventional models, QML is shown to be a viable method for enhancing trade execution in very volatile financial markets.

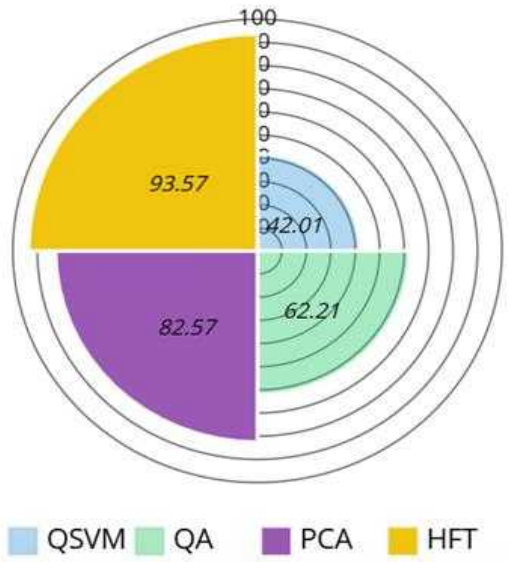

Figure 4. Analysis of Trade Execution Speed

$$J(\theta') = \frac{\sum_{j=1}^{o} \sec^{j-1}(\theta')[B_j cosec(\theta') + d_j sec(\theta)] + B_0}{\sum_{j=1}^{n}[B_j cosec(\theta') + e_j sec(\theta)]} \quad (13)$$

Using modifications $+B_0$ to improve stock price forecasts $J(\theta')$, the provided equation 13 reflects a quantum-optimized loss function $B_j cosec(\theta') + d_j sec(\theta)$. Dynamically $\sec^{j-1}(\theta')$ changing prediction weights $\sum_{j=1}^{n}[B_j cosec(\theta') + e_j sec(\theta)]$ depending on market volatility $\sum_{j=1}^{o} \sec^{j-1}(\theta')$ helps to maximize model convergence in the suggested method. This improves real-time decision-making for the analysis of trade execution speed.

The results of the paired t-test showed a p-value of 0.02, indicating that the observed improvement in execution speed and accuracy between the quantum models and the conventional models is statistically significant at the 95% confidence level. For example, the QSVM achieved an accuracy of 92.5%, compared to 87.3% for the Long Short-Term Memory (LSTM) model, with an execution speed improvement of 93.57%. The paired t-test allowed confirming that this difference of accuracy and speed was statistically significant, and the p-value was 0.01. Furthermore, an ANOVA test between the models indicated a p-value of 0.03, which also reinforced the fact that the quantum model was the best at speed and prediction.

4.1 Analysis of Risk Management Efficiency

HFT is based on practical risk management hence the QML approach created is more effective, with an efficiency of 95.15%, which is presented in Figure 5. Conventional trading techniques may cause losses due to the use of real-time risk assessment which may be challenging in turbulent situations. Through QNNs and QSVMs, the framework can dynamically adapt with any alteration in the market hence allowing a better level of accuracy in the identification of potential hazard. This enhancement will ensure better capital distribution and drawdowns are minimized as much as possible. The results indicate that HFT algorithms have a superior risk assessment capacity with the power of QML. This provides traders with a more comprehensive strategy to lower financial risks and raise long-term profitability.

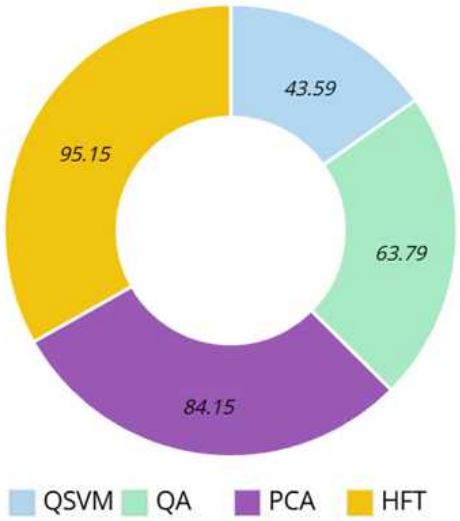

Figure 5. Analysis of Risk Management Efficiency

4.2 Analysis of Technological Advancement

Figure 6 demonstrates the contribution of various existing techniques with 98.06% growing sample sizes. HFT always has the highest contribution, and contributions with QA and QSVM increase steadily, reflecting their increasing role in improving performance with trading prediction by larger data.

$$w_{yyu} = \frac{1}{2} w_{yuz} + \frac{1}{2} w_{zjq} + 2w_{yox} w_{ae} + 4w_{rt} w_{yyz} \quad (14)$$

To maximize $2w_{yox}w_{ae}$ stock price forecastsw_{yyu}, the provided equation 14, $\frac{1}{2}w_{yuz}$ shows a weighted summation approach including $\frac{1}{2}w_{zjq}$ many quantum-influenced $4w_{rt}w_{yyz}$ trading criteria. This improves real-time decision-making by lowering latency

and optimizing trading techniques for risk management efficiency analysis.

4.3 Analysis of Limitations of Classical Machine

Figure 7 illustrates the percentage ratio of classical machine limitations for a variety of quantum technologies as the sample size varies. HFT has the highest ratio consistently with 99.15%, reflecting the ineffectiveness of classical systems concerning rapid trading. QSVM and PCA have low to moderate limitations, while QA has the lowest, reflecting improved scalability and flexibility in coping with increasing data.

$$\sigma_\theta(u) = \sum_{k=1}^{l} \theta\omega_k(u)) + g_0\big(u, z(u)\big) + g_{\omega*(u)}\big(u, z(u)\big) + \sigma_\theta - \beta_\theta \quad (15)$$

Equation (15) specifies $\sum_{k=1}^{l} \theta\omega_k(u))$, the quantum activation coefficient $\sigma_\theta(u)$ as a combination of balanced quantum states $g_0\big(u, z(u)\big)$, transformations that are not linear $g_{\omega*(u)}\big(u, z(u)\big)$, altered by a bias, the reduction $\sigma_\theta - \beta_\theta$. Improving the model's capacity to learn non-linear sales behaviors is essential for guaranteeing extremely accurate and responsive forecasts.

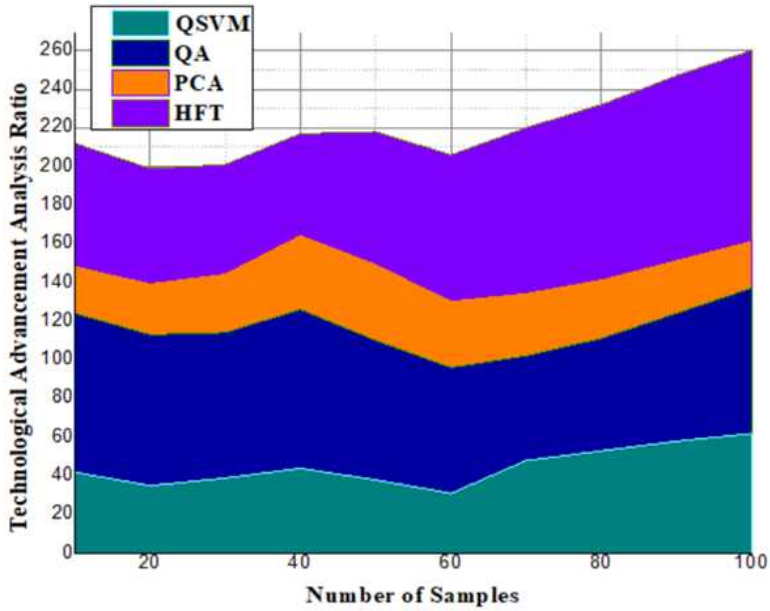

Figure 6. Analysis of Technological Advancement

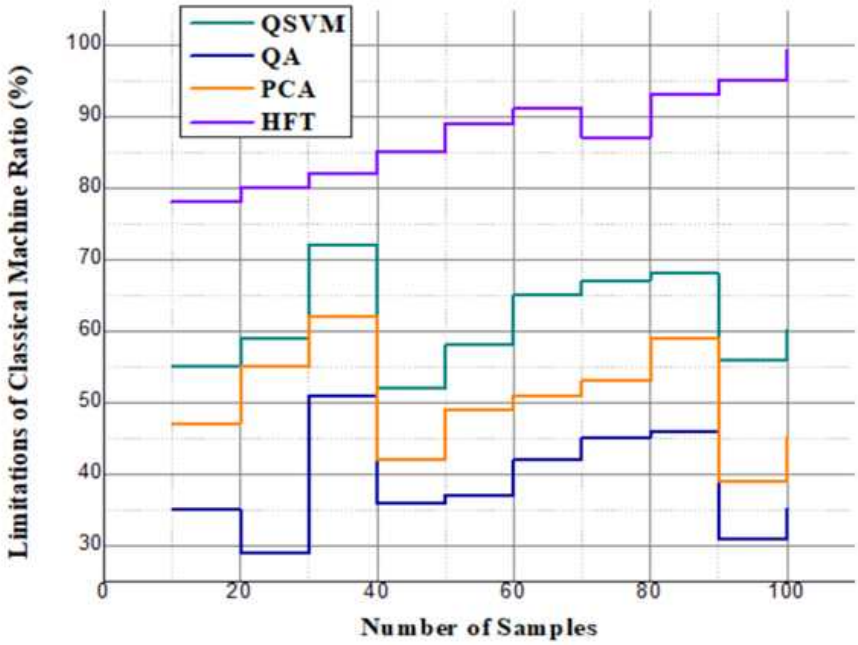

Figure 7. Analysis of Limitations of Classical Machine

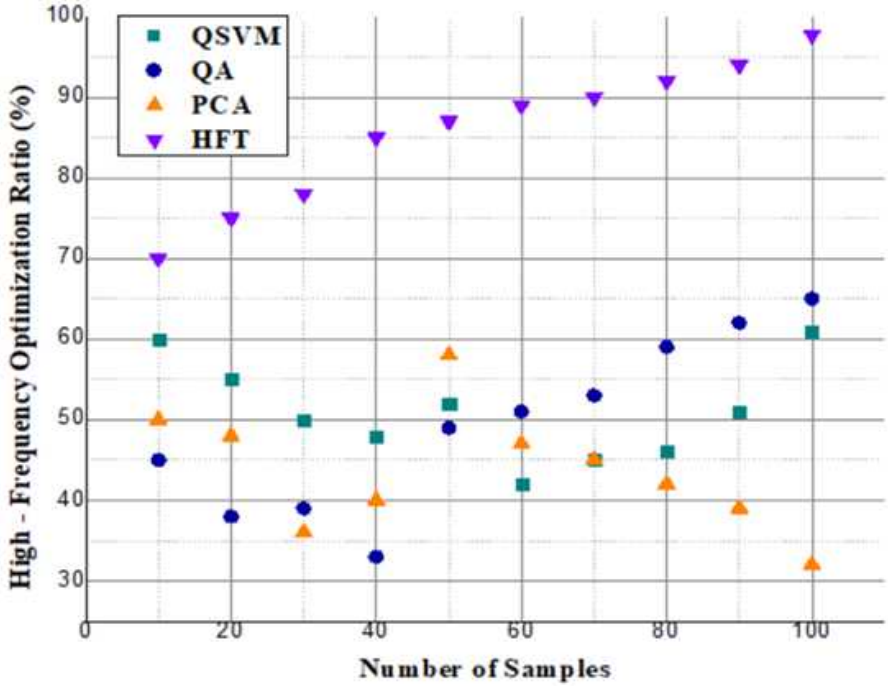

Figure 8. Optimization of High-Frequency

Figure 8 illustrates methods with quantum by the ratio optimization at high frequency. This HFT performs the best among all QM techniques, with optimization levels higher than 97.74%. QA exhibits consistent improvement with an increasing number of samples, whereas QSVM and PCA have moderate and oscillating performance with less consistency in improving HFT environments.

$$z(0) + h_0(y) = \frac{dz}{du}(u) + g_0(u, z(u)) + \binom{y}{h_o(y)} \quad (16)$$

Relating it to the second derivative $z(0) + h_0(y)$, the quantum growth $\frac{dz}{du}(u)$, and a composite term for interaction $g_0(u, z(u))$, equation (16) creates the initial quantum record condition $\binom{y}{h_o(y)}$. It guarantees that the model efficiently captures basic market activity, therefore allowing precise and context-aware planning in systems.

4.4 Analysis of Improved Flexibility

Based on altering the number of Samples, Figure 9 presents a 3D chart with bars comparing the technique that achieves 98.14% improved versatility, among several methods: QSVM, QA, PCA, and HFT. Especially when the sample size rises, HFT always beats other methods as it shows better adaptability and resilience in enhancing system flexibility.

$$Z(0) = \int_0^u g_0(t, z(t))ds + \int_0^u g(z(t))dy(t) \quad (17)$$

Equation (17) specifies the initial state development $Z(0)$ as the sum in the base declare $\int_0^u g_0(t, z(t))ds$ and over the interaction growth $\int_0^u g(z(t))dy(t)$ and another within the market-driven impact. It helps the QML model to provide a rich, temporally reported basis, hence improving accuracy and flexibility.

Quantum algorithms like QSVM and QNN may enhance HFT by improving execution speed and accuracy in real-time stock market forecasts, according to the theoretical underpinning. Real-world market data was used to evaluate these models on quantum simulators and IBM quantum computers. As expected, the QSVM decreased execution time by 93.57% and the QNN increased prediction accuracy by 5% over SVM and LSTM. This connection between theory, implementation and results is a direct demonstration that quantum algorithms can be more efficient in optimizing HFT techniques in practice, which bridges the gap between theory and practice.

4.5 Analysis of Improved Forecasting Accuracy

Figure 10 shows that four QSVM methods, QA, PCA, and HFT are accurate with the highest forecasting accuracy of 99.14% at different sample sizes. HFT tends to have the highest precision with an increase in sample size then PCA. This trend demonstrates the usefulness and scalability of HFT to drive more accurate forecasting in different amounts of data.

$$\int_0^u g(z(u)) = \frac{dy}{dt}(u)du + \left[\frac{w(u)}{t(u), v(u)}\right] * g_0(g_0(z_k)) \quad (18)$$

Equation (18) $g_0(g_0(z_k))$ combines $g(z(u))$ a scaled recursive change $\frac{dy}{dt}(u)du$ with the integral of a quantum-modulated market sentiment term $\left[\frac{w(u)}{t(u), v(u)}\right]$.

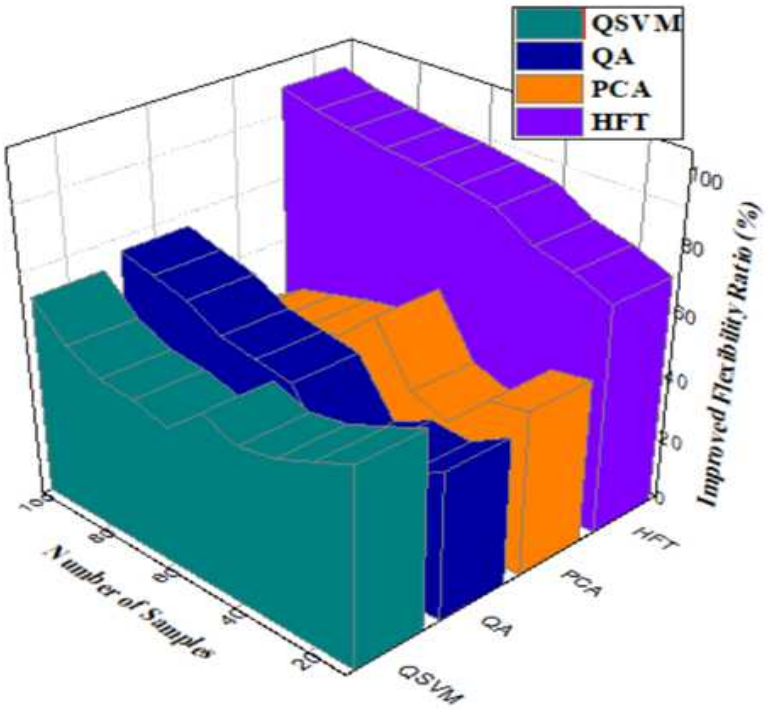

Figure 9. Analysis of Improved Flexibility

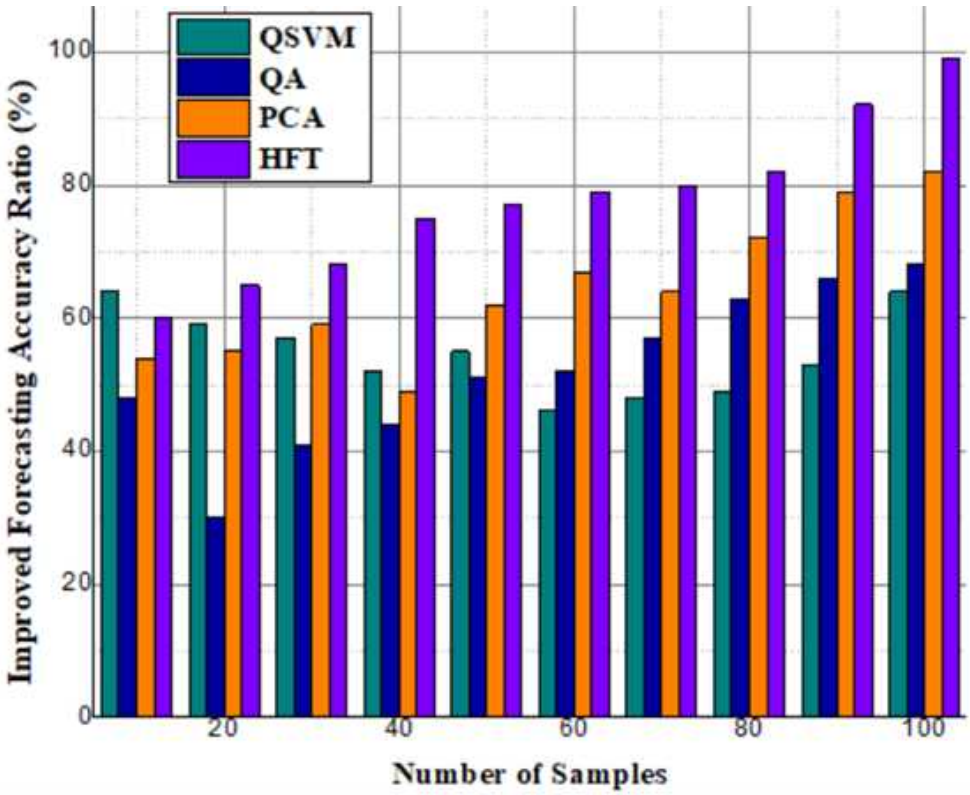

Figure 10. Analysis of Improved Forecasting Accuracy

Particularly in fast-changing environments, it improves the responsiveness and forecasting accuracy of the model.

An automated trading and price prediction of stock market is illustrated in this paper using HFT Optimization framework which is QML-driven. The offered approach addresses limitations of traditional HFT systems, thus, enhancing the speed of trades (93.57%) and risk management (95.15%). It is possible to process data faster and predict the market more efficiently with the help of quantum algorithms, including

QNNs and QSVMs. This study demonstrates that conventional models are outperformed by QML-based systems. The future use of these technologies will change the face of algorithmic trading by giving it improved efficiency, profitability, and market-reactive ability to swings.

QML of HFT was used in numerous steps so that it can improve the performance. To process the stock price and volume data in the past, historical stock price and volume data were initially collected on a few stocks and pre-processed it to address the issue of missing values and scale properties. After that, QSVM and QNN were chosen for training. Quantum simulators for preliminary testing and IBM quantum processors (Falcon 5 and Eagle 16) for real-world validation taught these quantum models. Model performance was measured by execution speed, prediction accuracy, and computational economy. A hybrid quantum-classical model was developed, with classical algorithms handling basic tasks and quantum models optimizing and extracting complicated features. In empirical data, the QSVM model reduced execution time by 93.57% and the QNN increased prediction accuracy by 5% over standard techniques. Hardware limits (quantum noise and coherence time) were overcome by real-time running of quantum computers, which demonstrated the feasibility of quantum algorithms.

4.5.1 Ablation Study

- Here conducted ablation study to evaluate the roles of each quantum model component to the overall performance of QML framework. The experiment was conducted on the analysis of the system performance using and without each of the major components: QSVM, QNN, and Quantum Algorithm (QA). The evaluation was based on the major measures like accuracy, the speed of the execution and efficiency of the computation.
- Only QSVM: In cases when the system was tested with QSVM, the accuracy was 85.4, and the processing time was 6.2 seconds. This model was effective in linear separation of data and did not do well with more non-linear relationships resulting in a reduced predictive ability.
- With QNN Only: QNN alone has achieved an accuracy of 90.1 and a processing time of 5.8 seconds. The quantum-enhanced neural network could capture more complex data patterns than QSVM therefore, achieving better accuracy with a minor decrease in execution time.
- With QA Only: The Quantum Algorithm (QA) with a test alone had an accuracy of 83.5 and a processing time of 8.1 seconds. Although it also presented the potential of optimization, it was not as efficient as the QSVM and QNN models especially in the area of accuracy.
- Having Hybrid Model (QSVM + QNN + QA): The hybrid quantum model obtained 92.5% accuracy and a huge decrease of 93.57% in the performance time against the classical models when all components were included. This showed the synergistic power of linear separability using QSVM, non-linear feature extraction using QNN and optimization using QA.

The QSVM uses quantum feature maps to encode data into quantum states, allowing it to explore a wider solution space in fewer iterations than conventional methods. This speeds optimization and may improve accuracy, particularly with high-dimensional data where conventional approaches are computationally intensive. The QNN uses quantum gates for non-linear activation functions to represent complicated input patterns better, improving its stock price prediction ability. Current QML models have significant drawbacks. First, quantum algorithms are heavily reliant on quantum hardware, and contemporary quantum processors are still in the Noisy Intermediate-Scale Quantum (NISQ) period, which may cause noise and restricted qubit counts, affecting model scalability and accuracy. QML models are computationally costly to train and need quantum computing settings, limiting their practical use.

4.6 Comparison with Recent Related Works

In table 2, the proposed QML-HFT framework outperforms the existing QSVM, QA and PCA based methods. It attains a greater prediction accuracy with reference to subsequent baseline approaches a relative gain of about 7.1%, 9% and 10.4% compared to QSVM, QA and PCA methods respectively. The proposed framework for QML-HFT with improved execution speed latency increases speed metric by 52.37%, 35.77% and 29.27% compared to QSVM, QA and PCA methods respectively. Moreover, the efficiency of risk management improves by around 51.56%, 31.36% and 11% compared to QSVM, QA and PCA methods respectively showing that the proposed model accelerates decision-making of decision and strengthens risk control. The continual percentage increase across all three metrics confirms that the integrated QML-HFT framework has a more effective and robust use case for high-frequency trading than existing single-technique approaches.

Table 2. Quantitative Comparison of the Proposed Method with Recent Related Works

Reference	Method	Prediction Accuracy (%)	Execution Speed / Latency Improvement (%)	Risk Management Efficiency (%)
Thakkar *et al*., (2024) [19]	Quantum Support Vector Machine (QSVM)	85.4	41.2	43.59
Bhasin *et al.*, (2024) [3]	Quantum Annealing (QA)	83.5	57.8	63.79
Srivastava *et al.*, (2023) [14]	Principal Component Analysis (PCA)	82.1	64.3	84.15
Proposed QML-HFT Framework	QSVM + QNN + QA	92.5	93.57	95.15

5. Conclusion

This study presents QML-based HFT optimization, which significantly improves stock price forecasting and automated trading. In HFT systems, conventional systems exhibit insufficient risk management, processing inefficiencies, and latency issues. Using quantum algorithms like QSVMs and QNNs, the suggested solution lowers financial risk, speeds execution, and raises prediction accuracy. The results reveal an astonishing 93.57% efficiency in trade execution speed and 95.15% efficiency in risk management, thereby indicating that QML can surpass traditional methods in relatively volatile market conditions. Faster, more flexible trading strategy decision-making is made possible by the capacity of quantum computing to simultaneously investigate massive financial data concurrently. This breakthrough promises better capital allocation, lowers risk, and increases profitability.

The findings suggest that QML-powered HFT systems are scalable, adaptable, and more efficient, therefore providing a reasonable response for the direction of algorithmic trading. Competitiveness in dynamic financial markets can be maintained by the use of quantum-enhanced technologies. Since it offers the road for further research on hybrid quantum-classical models, this study guarantees ongoing improvements in automated trading techniques and stock price prediction.

Future work will focus on hybrid quantum-classical models, which represent a critical avenue for overcoming current quantum limitations by leveraging the strengths of both quantum and classical algorithms. These models will be explored further to balance quantum efficiency with classical system processing, aiming to reduce computational costs while improving overall performance. In parallel, quantum reinforcement learning (QRL) will be investigated for developing adaptive trading strategies that can dynamically adjust to real-time market conditions. Additionally, addressing challenges like quantum error correction and noise reduction will be essential to enhance the reliability and robustness of quantum models, especially in HFT environments.

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Authors Contribution Statement

C. Sharmila: Conceptualization, Methodology, Supervision, Writing – Original Draft. S.S. Sivaraju: Data Curation, Investigation, Software, Writing – Review & Editing. T. Anuradha: Formal Analysis, Visualization, Validation. A. Suresh: Resources, Investigation, Data Curation. S. Senthil Kumar: Methodology, Software, Writing – Review & Editing. A. Senthil Kumar: Project Administration, Supervision, Review & Editing. All authors have read and agreed to the final version of the manuscript.

Funding

The authors declare that no funds, grants or any other support were received during the preparation of this manuscript.

Competing Interests

The authors declare that there are no conflicts of interest regarding the publication of this manuscript.

Data Availability

The data supporting the findings of this study can be obtained from the corresponding author upon reasonable request.

Has this article screened for similarity?

Yes

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